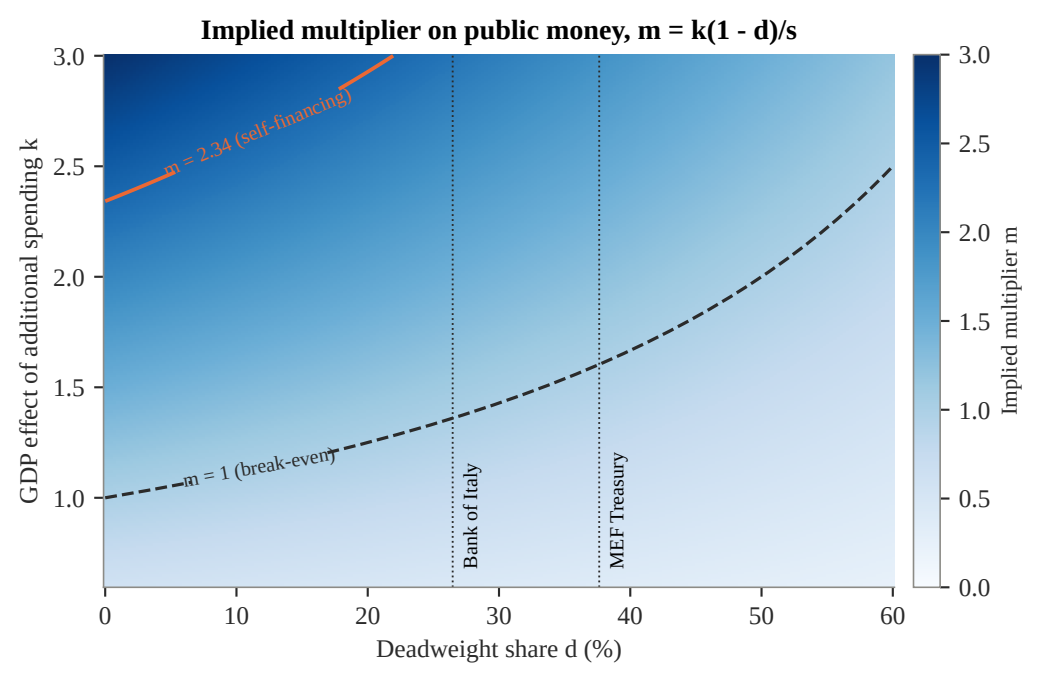
Implied multiplier on public money, m = k(1 - d)/s
GDP effect of additional spending k
Deadweight share d (%)
Implied multiplier m
m = 2.34 (self-financing)
m = 1 (break-even)
Bank of Italy
MEF Treasury
3.0
2.5
2.0
1.5
1.0
0.5
0.0
0
10
20
30
40
50
60